Practice workbook · The three inventories of a manufacturer

Defining or contrasting the three manufacturing inventories, and why a manufacturer might buy in finished goods.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-10

1. Question 1 · part a · 3 marks

2023 JUN · Paper 02

Worked-example retry · Attempt part a only.

1 (a) Explain the difference between the three types of inventories: raw materials, work in progress and finished goods.

(3)

Dingle provided the following information for the year ended 31 January 2023.

	1 February 2022 $	31 January 2023 $
Factory machinery		
– cost	89 000	128 000
– provision for depreciation	40 500	**To be calculated**
Office equipment		
– cost	36 000	36 000
– provision for depreciation	9 000	**To be calculated**
Inventory		
– raw materials	21 200	23 600
– work in progress	19 100	18 400
– finished goods	23 000	31 750

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1. Question 1 · part a · 3 marks

2023 JUN · Paper 02

Worked-example retry · Attempt part a only.

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	31 January 2023 $
Other payables – factory power	3 300
Other receivables – factory supervisor's wages	830
Factory power paid	38 200
General expenses	36 000
Insurance	7 800
Purchases of raw materials	198 045
Rent	46 000
Revenue	729 595
Royalties	41 300
Wages paid – production staff – factory supervisor – administration staff	 89 700 24 000 16 590

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Rent and insurance are apportioned 80% to the factory and 20% to administration.

General expenses are apportioned 90% to the factory and 10% to administration.

Depreciation is charged on:

- factory machinery at 15% per annum using the straight line method
- office equipment at 25% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase.

1. Question 1 · part a · 3 marks

2023 JUN · Paper 02

Worked-example retry · Attempt part a only.

(b) Prepare the manufacturing account for the year ended 31 January 2023.

(11)

Dingle
Manufacturing account for the year ended 31 January 2023

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1. Question 1 · part a · 3 marks · Working and answer

Working and answer

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2. Question 2 · part a · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part a only.

2 Jeff is a manufacturer of motor vehicles.

(a) Define the following terms:

(3)

raw materials

work in progress

finished goods.

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2. Question 2 · part a · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part a only.

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QUESTION 2 (b) BEGINS ON THE NEXT PAGE.

2. Question 2 · part a · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part a only.

Jeff provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Inventory		
Finished goods	25 500	31 750
Raw materials	18 750	16 250
Work in progress	21 570	18 590
Factory machinery		
Cost	90 000	90 000
Provision for depreciation	43 920	**To be calculated**
Carriage inwards		8 955
Insurance		12 500
Heat, light and power		37 250
Purchases of raw materials		238 795
Production wages		98 000
Supervisor wages		28 575
Royalties		50 000

- Insurance, heat, light and power are apportioned between the factory and the office in the ratio of 80:20
- Heat, light and power paid in advance, $1 750
- Production wages for workers owing, $1 250
- Supervisor wages owing, $2 325
- Depreciation for factory machinery is charged at 20% per annum using the reducing balance method.

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2. Question 2 · part a · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part a only.

(b) Prepare the manufacturing account for the year ended 31 December 2019.

(11)

Jeff

Manufacturing account for the year ended 31 December 2019

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2. Question 2 · part a · 3 marks · Working and answer

Working and answer

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3. Question 1 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

1 (a) Explain the difference between the three types of inventories: raw materials, work in progress and finished goods.

(3)

Dingle provided the following information for the year ended 31 January 2023.

	1 February 2022 $	31 January 2023 $
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Office equipment		
– cost	36 000	36 000
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3. Question 1 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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A full year's depreciation is charged in the year of purchase.

3. Question 1 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

(b) Prepare the manufacturing account for the year ended 31 January 2023.

(11)

Dingle
Manufacturing account for the year ended 31 January 2023

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3. Question 1 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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(c) Prepare the income statement for the year ended 31 January 2023.

(9)

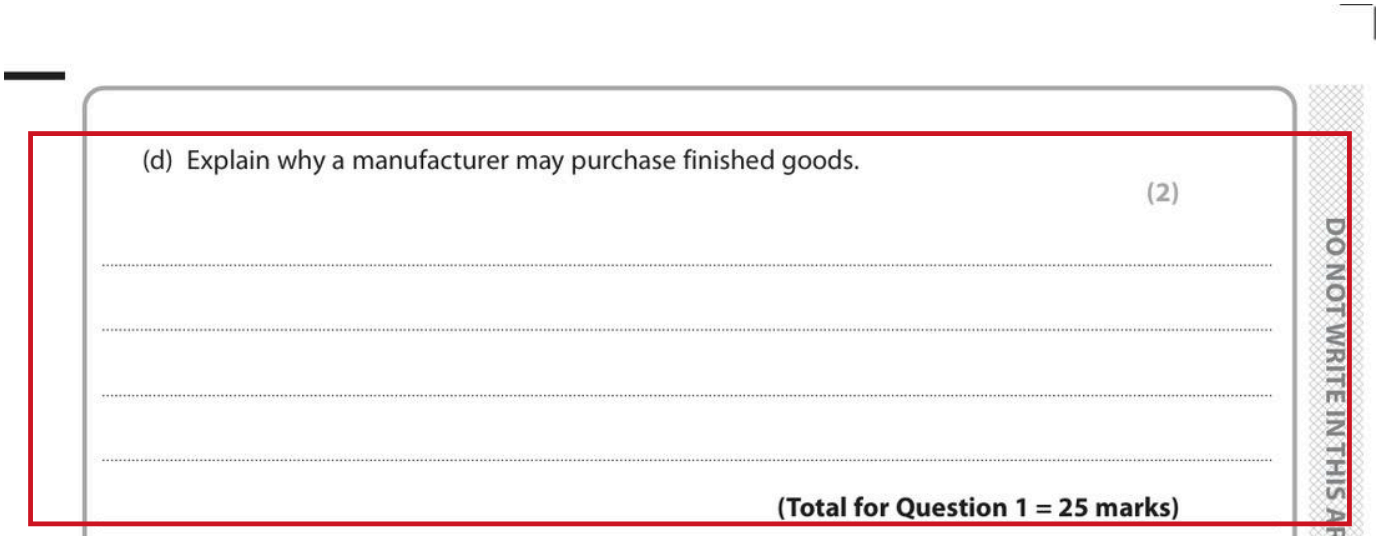
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Income statement for the year ended 31 January 2023

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3. Question 1 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.



(d) Explain why a manufacturer may purchase finished goods.

(2)

(Total for Question 1 = 25 marks)

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Working and answer

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